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AAVE

Governance, tokenholder economics, and the investment case

Work for Alea Research
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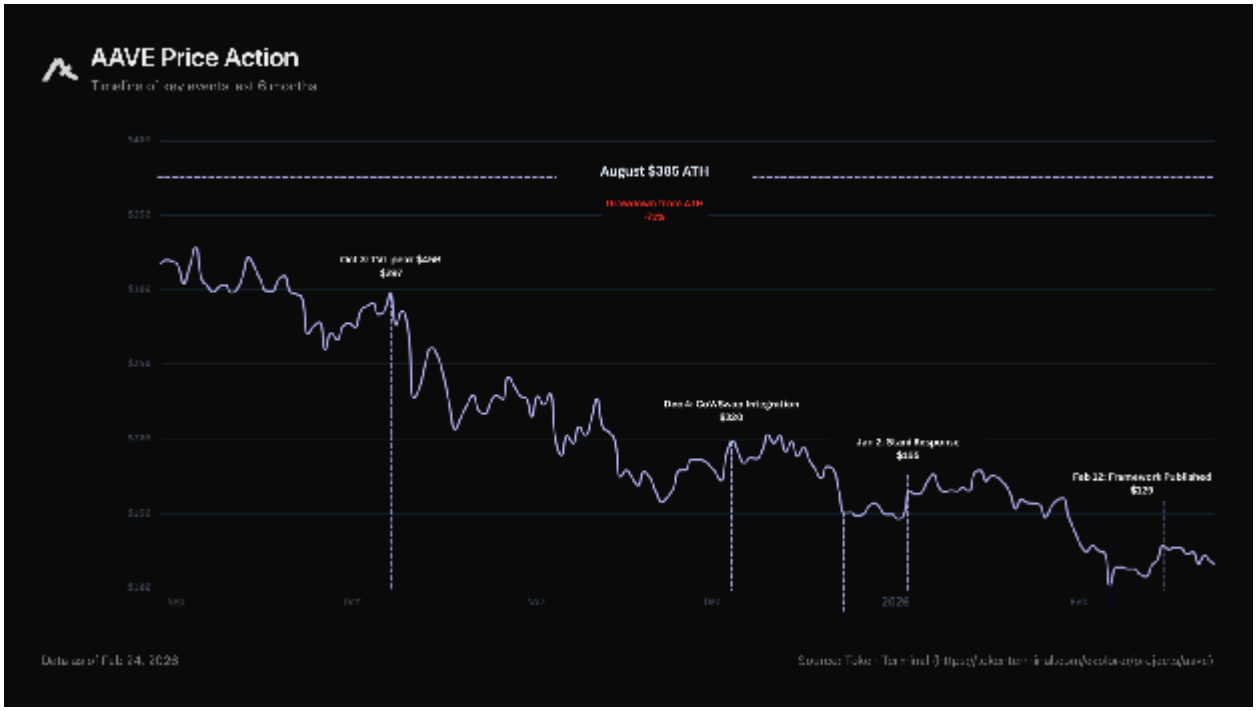
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Aave remains DeFi's most dominant lending protocol with over $25B in TVL, larger than all competitors combined, commanding over 80% of Ethereum's total outstanding debt. In 2025, Aave generated over $800M in total fees with about 15% (~$125M) as revenue flowing to the DAO treasury, and $50M of revenue being used for buybacks annually.



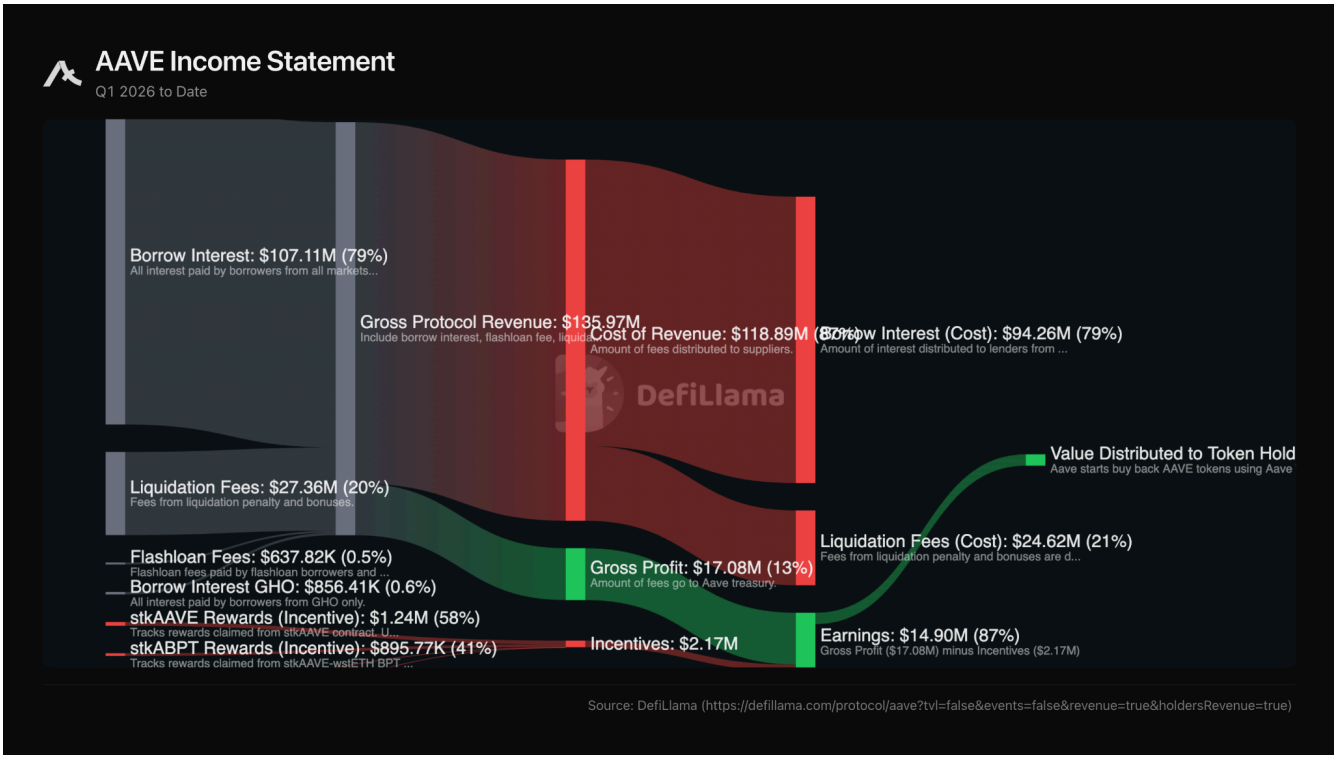
The AAVE token has a nearly fully circulating supply trading at ~$120, down almost 70% from August highs and 44% from pre-crisis levels, dipping sub-$100 briefly. The selloff was driven by governance issues rather than fundamental deterioration. TVL held. Fees held. What changed was the market's confidence in whether token holders actually own anything.



CoW Swap orderflow through Aave.com carries a 15–25 bps partner fee that has been routed to a Labs-controlled address which surfaced publicly in December after onchain analysis. Roughly ~$10M in annual revenue disappeared without authorization which led to a full-blown governance war.
We think this crisis is an opportunity. To understand why this is an opportunity, we must understand the power dynamics of Aave's split architecture.

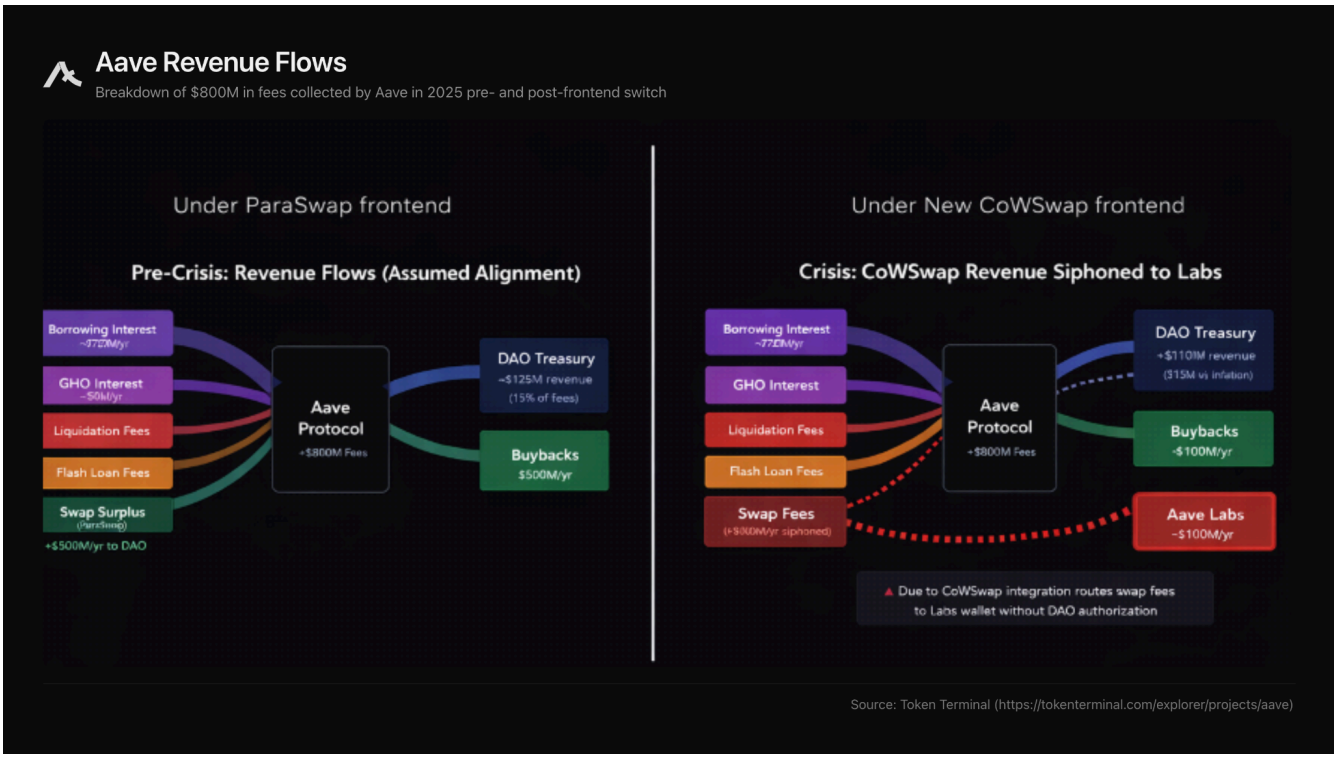
- **Aave DAO**: This refers to the token holders who control onchain parameters, risk settings, and the treasury. Marc Zeller's Aave Chan Initiative (ACI) is a large voice in this group.
- **Aave Labs:** This is the private company run by Stani Kulechov which controls the frontend, domains, brand, IP, and key infrastructure.

For years, everyone assumed both Labs and DAO were aligned and did what's best for the protocol and the AAVE token. That assumption shattered in December as the CowSwap integration revealed that Labs siphoned revenue away from the DAO without authorization. Subsequently, a proposal emerged to transfer brand assets to the DAO, which escalated to a snapshot vote over Christmas by Labs without consent, triggering accusations of manipulation designed to suppress turnout over the holiday period. The vote ultimately failed with 55.3% Against, 41.2% Abstaining, and 3.5% For.



On Feb 12, Aave published its "Aave Will Win" framework, with key commitments including:

1. 100% of revenue from Aave-branded products (Aave mobile app, Aave Pro, Aave Kit, Aave Horizon, and all future products) will flow to the DAO.
2. The CoWSwap integration revenue of $10M annually goes to the DAO.
3. Brand assets to be transferred to a DAO-approved Foundation.
4. Aave V4 ratified as the technical foundation for service providers, once the migration from V3 is stable.



In exchange however, Labs is asking for $25M in stablecoins, 75k AAVE tokens, and $17.5M in milestone grants. In total, worth about $50M which is ~30% of the entire Treasury's balance. This was met with resistance from the community and better ways to structure it (Multicoin's response).

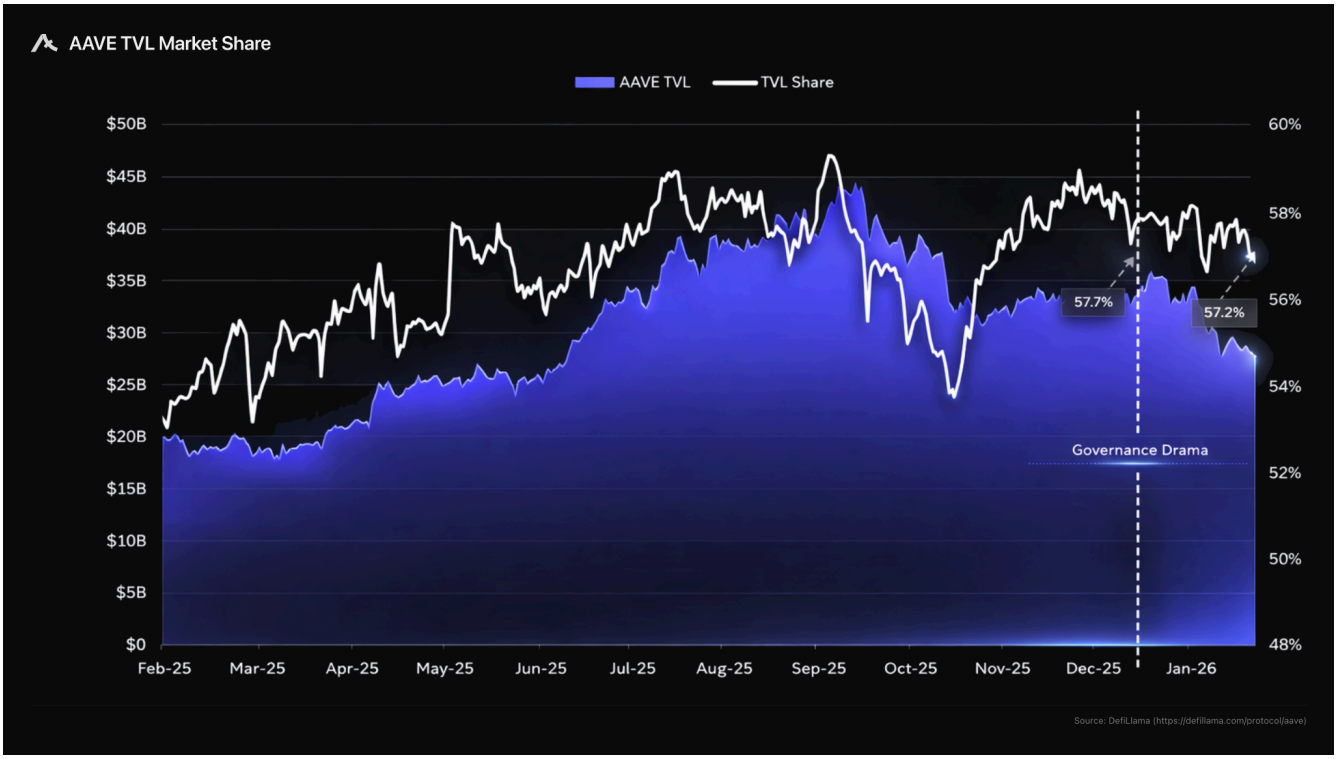
In the last 48 hours, the debate escalated into dueling write-ups: Aave Labs published a contributions report framing itself as the core builder and operator of Aave since 2017, while ACI's Marc Zeller responded with an audit to address Labs' claims of being an "undercapitalized dev shop" despite receiving $86M in total capitalization across ICOs, VC rounds, direct DAO payments, $5.5M in unapproved swap-fee capture, and even 23% of the original AAVE supply at ICO with current holdings still undisclosed. Zeller wants enforceable economics (auditable revenue definitions, caps on deductions, disclosure of voting power) before the DAO wires funds.

Regardless, the point is that the direction is now clear that Labs is committed to sending all product revenue to the DAO, with tokenholders now having explicit claims on revenue streams that were previously ambiguous.

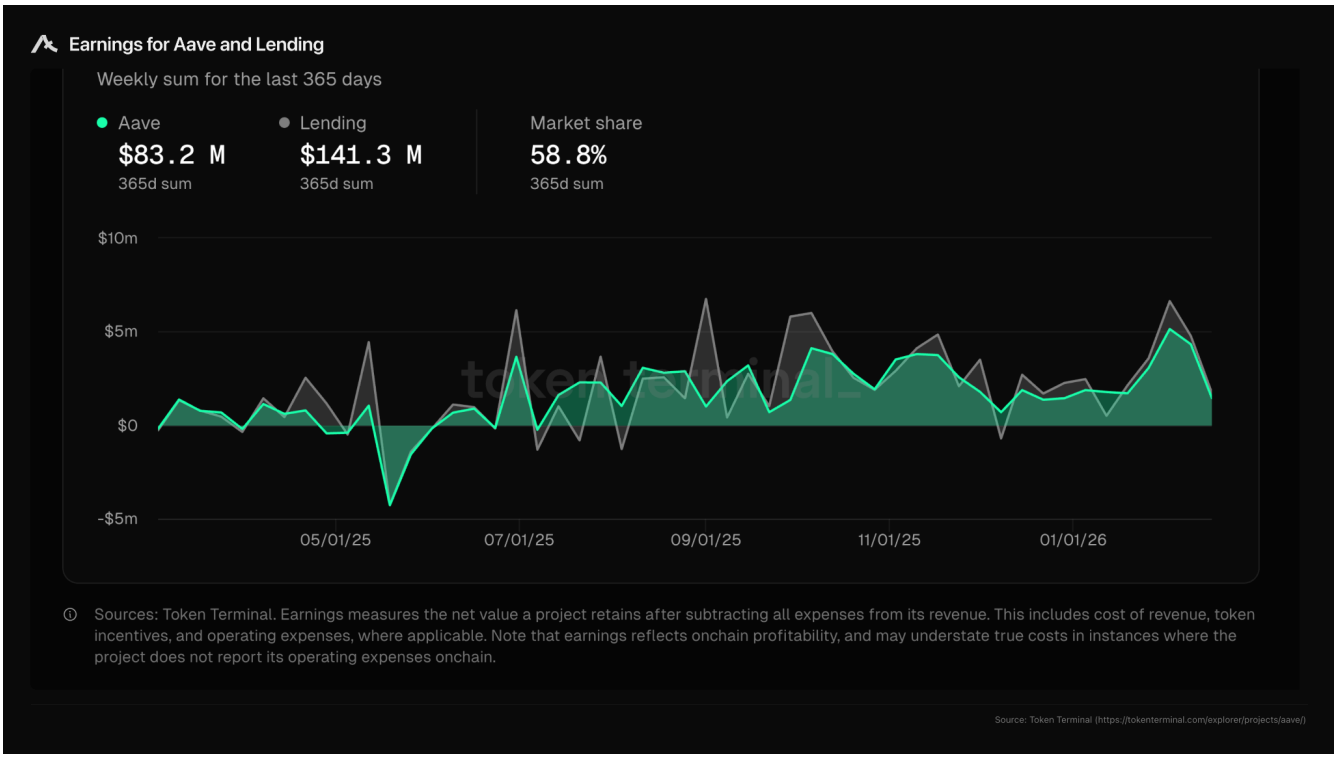


On Feb 20, BGD Labs (the team that built V3 and maintained Aave's core infrastructure for 4 years) announced they won't renew after April 1st (offering a security retainer through June), citing Labs' push for all service providers to pivot to V4 without collaboration. Losing BGD removes the most credible "independent core engineering counterweight."

The departure matters for governance optics, but BGD themselves wrote that "the infrastructural components of Aave are in a very mature stage." V3 is stable and doesn't require constant innovation to generate fees, but Labs' push to deprecate V3 and push to V4 could present risks of capital flight. Nonetheless, Aave's lending market share has remained stable through the governance crisis (from 57.7% pre-crisis levels to ~57.2% now).

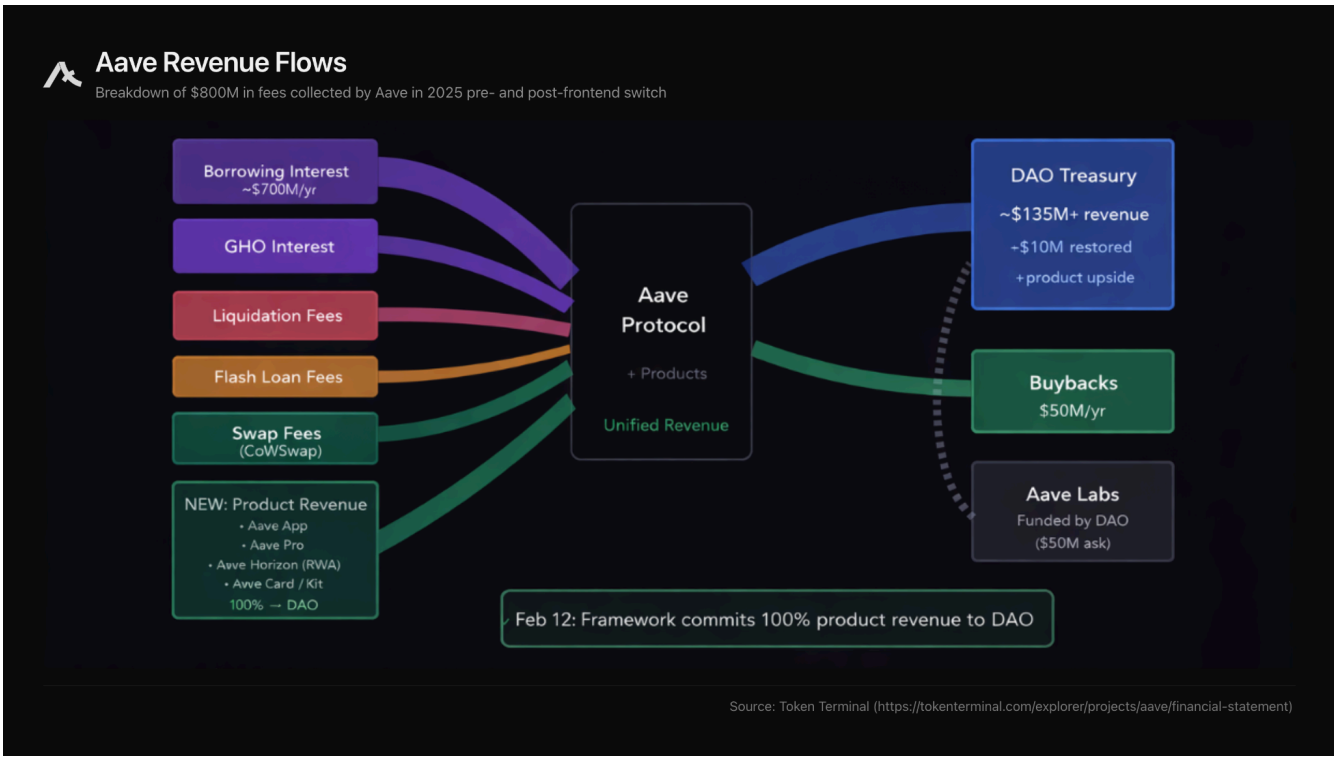


Considering the underlying business, Aave is a profitable infrastructure monopoly with network effects. It generates real revenue, has no meaningful unlock pressure with its nearly fully circulating supply, and runs a $50M annual buyback program.



Lending protocols have winner-take-most dynamics. They have been live since 2020 without a major exploit and are trusted for a long time by both users and institutions. Depositors accept lower yields on

Aave than they could get on newer protocols because they're paying for security track record. Jan 31 saw over $2.4B in liquidations (reported) across exchanges, and Aave was able to handle and profitably process over $140M in liquidations without triggering protocol-wide insolvency.



In the upcoming 1st half of 2026, expect the following catalysts:

1. **Horizon RWA Platform (launched):** Aave's permissioned market for tokenized real world assets hit $1B in deposits in Feb 2026 (current dashboard counts exclude SyrupUSD), doubling since January. Partners include Circle, Ripple, Franklin Templeton, VanEck.
2. **V4 Mainnet** (H1 2026 target): Replaces fragmented liquidity pools with hub-and-spoke architecture. Each chain gets a central Liquidity Hub with specialized Spokes that draw from shared liquidity for tailored markets (RWAs, institutional desks, high-volatility collateral). Labs claims this enables Aave to "handle trillions in assets." Currently on testnet with audits complete. Rollout will be gradual with capped deposits.
3. **Aave App Full Rollout** (2026): Consumer mobile app targeting 1M users, positioning Aave to capture share of $2T mobile fintech market. It is currently still in waitlist.
4. **Framework Vote** (coming weeks): Determines whether Labs' revenue commitment gets enforced, and with community pushing for independent revenue verification, reduced AAVE token grants, and clearer V3 maintenance terms.

At weekly lows ~$112 with ~$1B annualized fees, AAVE trades at 1.8x P/F, near YTD lows. At August's $385, the ratio was over 5x. The underlying business grew while the multiple compressed ~70%.

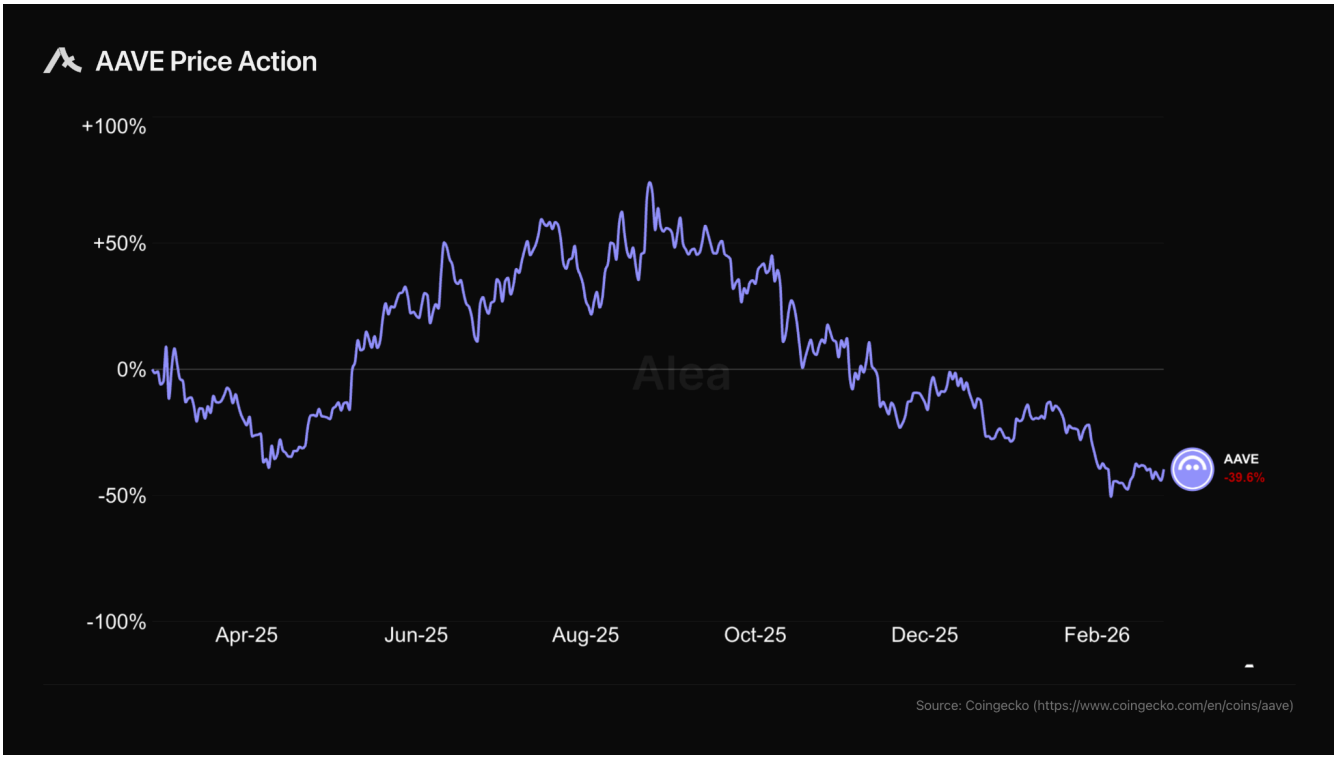


At 1.8x P/F on a market-dominant infrastructure asset with 80%+ Ethereum lending share, $125M+ in 2025 DAO revenue, institutional traction through Horizon, and explicit revenue commitments that didn't exist three months ago, the risk-reward favors accumulation.



Market-wide sentiment has bottomed with the Fear & Greed index at Extreme Fear levels of 10 last seen in June 2022. AAVE price trades 70% off August highs with news like governance chaos, and BGD's departure

potentially bottoming the chart. The fundamentals, however, have not bottomed, and never broke. TVL and Revenue grew over 2025.



As the governance drama resolves in favor of tokenholders, entering at $110-120 is reasonable, with even better entries on dips toward or sub-$100. Target $180-220 (3x P/F with resolution). Cut below $85.